

The Big Picture: First quarter 2026

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Key highlights:

Global growth is expected to continue to improve in 2026, supported by fiscal stimulus and easier financial conditions, while tariff uncertainty has receded.

US growth benefits from tax refunds and deregulation under the One Big Beautiful Bill Act; labor market softness persists but is not currently looking recessionary.

Inflation is trending lower globally, anchored near central bank targets; US inflation progress continues despite tariff pass-through risks.

Central banks appear to be near the end of easing cycles, with the Fed remaining responsive to labor market weakness; ECB likely on hold, BoJ expected to hike further.

Investment-grade credit fundamentals remain strong, with issuance driven by AI related capital needs and elevated M&A activity.

High-yield credit has been supported by disciplined corporate behavior and favorable technicals; defaults remain below historical averages.

Structured products-CLOs and agency MBS-offer attractive relative value; commercial real estate spreads remain compelling.

Emerging markets should benefit from high real yields and supportive local rate environments; active management favored in high-beta and frontier markets.

Investor sentiment looks constructive, supported by attractive yields and improving fundamentals despite lingering geopolitical and fiscal risks.

Overview

In this quarterly report, Western Asset maintains an optimistic outlook for 2026 as global growth looks to improve, supported by fiscal stimulus and easier financial conditions. Tariff uncertainty has receded, removing a key headwind, while inflation has been trending lower toward central bank targets in many markets. In the US, growth is likely to be buoyed by deregulation and anticipated tax refunds under the One Big Beautiful Bill Act, though labor market softness persists. Europe and the UK face trade-related challenges, but stable inflation, increased defense/infrastructure spending and easier monetary should provide support. Japan's persistent inflation points to further rate hikes, while China's recovery remains policy-driven amid structural headwinds. Central banks are nearing the end of their easing cycles, with the Fed remaining responsive to labor market weakness. Investor sentiment looks favorable, supported by attractive yields and strong credit fundamentals. Despite tight valuations, we believe opportunities remain across investment-grade and high-yield credit, structured products, and select emerging markets. Western Asset continues to emphasize disciplined, value-driven investing across resilient sectors.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Past performance is no guarantee of future results. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

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Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value.

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